

6-8b Facilitating versus Confronting Inbound FDI

Despite the general trend toward more FDI-friendly policies to facilitate inbound FDI around the world, debates continue to rage. At the heart of these debates is the age-old question discussed earlier: Can we trust foreign firms in making decisions important to our economy? (see [Emerging Markets 6.1](#))

Emerging Markets 6.1

Welcoming versus Restricting Sovereign Wealth Fund Investments

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is a state-owned investment fund composed of financial assets such as stocks, bonds, real estate, or other financial instruments funded by foreign exchange assets. Although the term “SWF” was only coined in 2005 by Andrew Rozanov, a senior manager at State Street Global Advisors, outside the United States investment funds that we now call SWFs were first created in 1953 by Kuwait. Both the United States and Canada have had their own SWFs—at least at the state and provincial level, such as the Alaska Permanent Fund and Alberta Heritage Fund. In the United States, Texas Permanent School Fund was established in 1854.

In the recent global financial crisis, SWFs came to the rescue. For example, in 2007, the Abu Dhabi Investment Authority injected US\$7.5 billion (4.9% of equity) into Citigroup. In 2008, China Investment Corporation (CIC) invested US\$5 billion for a 10% equity stake in Morgan Stanley.

Such large-scale investments have ignited the debate on SWFs. On the one hand, SWFs have brought much-needed cash to rescue desperate Western firms. On the other hand, concerns are raised by host countries, which are typically developed economies. One primary concern is national security in that SWFs may be politically (as opposed to commercially) motivated. Another concern is SWFs’ inadequate transparency. Governments in several developed economies, in fear of the “threats” from SWFs, have been erecting anti-SWF measures to defend their companies.

Foreign investment certainly has both benefits and costs to host countries. However, in the absence of any evidence that the costs outweigh benefits, the rush to erect anti-SWF barriers is indicative of protectionist (or, some may argue, even racist) sentiments. For executives at hard-pressed Western firms, it would not seem sensible to ask for government bailouts on the one hand, and to reject cash from

SWFs on the other hand. Most SWF investment is essentially free cash with few strings attached. For example, CIC, which now holds 10% of Morgan Stanley equity, did not demand a board seat or a management role. For Western policymakers, it makes little sense to spend taxpayers' dollars to bail out failed firms, run huge budget deficits, and then turn away SWFs. Commenting on inbound Chinese investment in the United States (including SWF investment), then-Secretary of the Treasury Henry Paulson argued in *Foreign Affairs*:

These concerns [on Chinese investment] are misplaced ... the United States would do well to encourage such investment from anywhere in the world—including China—because it represents a vote of confidence in the US economy and it promotes growth, jobs, and productivity in the United States.

Lastly, thanks to the financial crisis in 2008-2009, recent SWF investment in developed economies suffered major losses. Such a “double whammy”—both the political backlash and the economic losses—has severely discouraged SWFs. Some SWFs, especially those from the Gulf, are increasingly investing in their domestic public services (such as healthcare, education, and infrastructure). As a result, the competition for funds puts a premium on maintaining a welcoming climate. As part of the efforts to foster such a welcoming climate in times of great political and economic anxiety, the US-China Strategic and Economic Dialogue (S&ED) in July 2009 confirmed:

The United States confirms that the Committee on Foreign Investment in the United States (CFIUS) process ensures the consistent and fair treatment of all foreign investment without prejudice to the place of origin. The United States welcomes sovereign wealth fund investment, including that from China.

In September 2008, major SWFs of the world at a summit in Santiago, Chile, agreed to a voluntary code of conduct known as the Santiago Principles. These principles are designed to alleviate some of the concerns for host countries of SWF investment and to enhance the transparency of such investment. These principles represent an important milestone of SWFs' evolution. Since then SWF assets have grown faster than the assets of any other institutional investor group, including private equity and hedge funds. Today more than 70 major SWFs manage approximately US\$6.4 trillion assets. In the EU, between 15% and 25% of listed firms have SWF shareholders. Norway's Government Pension Fund Global, the world's largest SWF, owns an average of 2.5% of every European listed firm and 1% of all the equities in the world.

Sources: Based on (1) *Economist*, 2013, *More money than Thor*, September 14: 73; (2) D. Drezner, 2008, *Sovereign wealth funds and the (in)security of global finance*, *Journal of International Affairs*, 62: 115–130; (3) V. Fotak & W. Megginson, 2009, *Are SWFs welcome now? Columbia FDI Perspectives*, No. 9, July 21, www.vcc.columbia.edu; (4) H. Paulson, 2008, *The right way to engage China*, *Foreign Affairs*, September/October, www.foreignaffairs.org; (5) A. Rozanov, 2005, *Who holds the wealth of nations?* *Central Banking Journal*, May; (6) Sovereign Wealth Fund Institute, 2015, *About sovereign wealth fund*,

www.swfinstitute.org; (7) United Nations (UN), 2014, World Investment Report 2014 (pp. 19–20), New York and Geneva: UN; (6) US Department of the Treasury, 2009, The First US-China Strategic and Economic Dialogue Economic Track Joint Fact Sheet, July 28, Washington.

In developed economies, backlash against inbound FDI from certain countries is not unusual. In the 1960s, Europeans were concerned about the massive US FDI in Europe. In the 1980s, Americans were alarmed by the significant Japanese inroads into the United States. Over time, such concerns subsided. In 2006, a controversy erupted when Dubai Ports World (DP World), a United Arab Emirates (UAE) government-owned company, purchased US ports from another *foreign* firm, Britain's P&O. This entry gave DP World control over terminal operations at the ports of New York/New Jersey, Philadelphia, Baltimore, Miami, and New Orleans. Although the UAE has been a US ally for three decades, many politicians, journalists, and activists opposed such FDI. In this "largest political storm over US ports since the Boston Tea Party," DP World eventually withdrew. Similarly, Chinese firm CNOOC's bid for US firm Unocal and another Chinese firm Chinalco's bid for Australia's Rio Tinto were torpedoed by a politicized process. Recent media sensation often focuses on China's rise as an active foreign investor.

In some parts of the developing world, tension over foreign ownership can heat up. There were numerous incidents of nationalization and expropriation against MNE assets throughout the developing world between the 1950s and the 1970s. Given the recent worldwide trend toward more FDI-friendly policies, many people thought that such actions were a thing of the past. During 2006, individuals holding such a view had a rude awakening. In 2006, Venezuelan President Hugo Chavez ordered Chevron, ENI, Royal Dutch, Total, and other oil and gas MNEs to convert their operations in the country into forced JVs with state-owned Venezuelan firm PDVSA, with PDVSA holding at least 60% of the equity. When France's Total and Italy's ENI rejected such terms, the government promptly seized their fields. Also in 2006, Bolivia seized control of MNEs' oil fields. Soon after, Ecuador expropriated the oil fields run by America's Occidental Petroleum. More recently, in 2012 Argentina nationalized YPF, which was owned by Spain's Repsol.

Why did Argentina's government led by President Cristina Fernandez de Kirchner take over YPF in 2012?



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It is important to note that the anti-MNE actions in Latin America were not sudden impulsive policy changes. The politicians leading these actions were all democratically elected. These actions were the result of lengthy political debates concerning FDI in the region, and such takeovers were popular among the public. Until the 1970s, Latin American governments had often harshly confronted MNEs. Only in the 1990s when these countries became democratic did they open their oil industry to inbound FDI. Therefore, the 180-degree policy reversal is both surprising (considering how recently these governments welcomed MNEs to arrive) and not surprising (considering the history of how MNEs were dealt with in the region). Some argue that these actions represent the swing of a “pendulum” toward more confrontation (see [Chapter 1](#) on the “pendulum” view on globalization).